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PART II

Statutory Notifications (S. R. O.)

GOVERNMENT OF PAKISTAN

MINISTRY OF WATER AND POWER

NOTIFICATION

Islamabad, the 26th January, 2015

S. R. O. 94 (I)/2015.—In pursuance of sub-section (4) of section 31 of the Regulation of Generation, Transmission and Distribution of Electric Power Act, 1997(XL of 1997), read with National Electric Power Regulatory Authority Interim Power Procurement (Standards and Procedure) Regulations, 2005 (IPPRs), the Federal Government is pleased to notify the National Electric Power Regulatory Authority's negotiated power acquisition contract for purchase of 640 MW Electricity from Azad Pattan Hydro Power Project located in the state of Azad Jammu & Kashmir (AJK) for delivery of National Transmission and Depatch Company (NTDC), namely:—

(337)

Price: Rs. 10.50

[175 (2015)/Ex. Gaz.]

Tariff Components	Year 1-12	Year 13-30	Indexation
Variable Charge (Rs./kWh)			
Variable O&M - Local	0.1006	0.1006	CPI
Water Use Charge	0.1500	0.1500	CPI
Fixed Charge (Rs./kW/M)			
Fixed O&M - Local	96.6505	96.6505	CPI
Fixed O&M - Foreign	64.4336	64.4336	PKR/US\$, US CPI
Insurance	103.2599	103.2599	PKR/US\$
Debt Service	1391.2495	-	LIBOR, KIBOR, PKR/US\$
Return on Equity	623.1446	662.3880	PKR/US\$
Return on equity during construction (ROEDC)	424.3614	424.3614	PKR/US\$

- i. The Advance tariff has been calculated on the basis of net contracted capacity of 637.696 MW and net annual energy production of 3064.00 GWh.
- ii. In the above tariff, no adjustment for Carbon Emission Reduction receipts (CERs) has been accounted for. However, upon actual realization of CERs, the same shall be distributed between the Power Purchaser and the project company in accordance with the GOP Policy for Power Generation Projects 2002 as amended from time of time.
- iii. The above tariff is applicable for a period of thirty (30) years on BOOT basis commencing from Commercial Operation Date (COD).
- iv. Debt service will be paid in the first 12 years of commercial operation of plant after COD.
- v. Redemption of equity has been allowed after 12 years of commercial operation of the plant.
- vi. The Petitioner is entitled to adjustment of cost reopeners and cost escalation in the civil works. Such adjustment will be allowed subject to provision of the required information/data in accordance with the Mechanism for Determination of Tariff for Hydropower Projects approved by NEPRA.
- vii. The reference PKR/Dollar rate has been assumed at 1 USD = 98 PKR.
- viii. The component wise tariff is indicated at Annex-I.
- ix. Debt Servicing Schedule is attached as Annex-II.

I. One Time Adjustment

- a. The Principal repayment and the cost of debt will be adjusted at COD as per the actual borrowing composition and LIBOR/KIBOR at the relevant date.
- b. Interest During Construction (IDC) will be adjusted at COD on the basis of actual debt composition, debt drawdown of loan (not exceeding the amount allowed by the Authority) and applicable 6-months LIBOR & KIBOR during the project construction period of 72 months (6 years) approved by the Authority.
- c. The specific items of project cost to be paid in foreign currency (*i.e.* US\$) will be adjusted at COD on account of actual variation in exchange rate over the reference PKR/US\$ exchange rate of Rs. 98.00 on production of verifiable documentary evidence to the satisfaction of the Authority.
- d. Duties and/or taxes, not being of refundable nature, imposed on the company up to the commencement of its commercial operations for the import of its plant, machinery and equipment will be adjusted on actual basis at COD, upon production of verifiable documentary evidence to the satisfaction of the Authority.
- e. Cost of land and resettlement US\$ 12.028 million will be adjusted in accordance with the Hydropower Mechanism based on authentic documentary evidence at COD.
- f. Insurance during construction will be adjusted at COD based on actual subject to the maximum of 2.40% of the adjusted and approved EPC cost upon production of verifiable documentary evidence to the satisfaction of the Authority.
- g. Financial charges will be adjusted at COD on the basis of actual subject to the maximum of 3% of the total debt allowed (excluding the impact of interest during construction and financial charges) on production of authentic documentary evidence.
- h. Return on Equity (ROE) and Return on Equity During Construction (ROEDC) will be adjusted at COD on the basis of actual equity injections and PKR/US\$ exchange rate variation (within the overall equity allowed by the Authority at COD) during the project construction period allowed by the Authority.
- i. The reference tariff table shall be revised at COD while taking in to account the above adjustments. The Petitioner shall submit its request to the Authority within 90 days of COD for necessary adjustments in tariff.

II. Pass-Through Items

No provision for income tax has been accounted for in the tariff. If the power producer is obligated to pay any tax, the exact amount paid by the power producer (the Company) shall be reimbursed by the Power Purchaser to the Company on production of original receipts. This payment shall be considered as pass-through payment (Rs./kW/M) spread over a twelve (12) months period in addition to fixed charges in the reference Advance Tariff.

Withholding tax on dividends is also a pass through item just like other taxes as indicated in the government Guidelines. Withholding tax shall be paid @ 7.5% of the return on equity (including return on equity during construction). The Power Purchaser shall make payment on account of withholding tax at the time of actual payment of dividend subject to maximum of 7.5% of 17% equity according to the following formula:

$$\text{Withholding Tax Payable} = [\{17\% * (E_{(Ref)} - E_{(Red)})\} + ROEDC_{(Ref)}] \times 7.5\%$$

Where:

$E_{(Ref)}$ = Adjusted Reference Equity at COD

$E_{(Red)}$ = Equity Redeemed

$ROEDC_{(Ref)}$ = Adjusted Reference Return on Equity during Construction

In case the Company does not declare a dividend in any particular year or only declares a partial dividend, then the difference in the withholding tax amount (between what has been paid in that year and the total entitlement as per the Net Return on Equity) would be carried forward and accumulated so that the Company is able to recover the same as a pass through item from the Power Purchaser in future on the basis of the total dividend payout.

III. Hydrological Risk

Hydrological Risk shall be borne by the Power Purchaser in accordance with the GoP Policy for Power Generation Projects 2002.

IV. Indexation

The following indexation shall be applicable to the reference tariff:

(i) Indexation applicable to O&M

The Variable O&M cost is based on local currency. The Fixed O&M cost is based on 60% local and 40% foreign expense. The local component of O&M will be adjusted on account of Inflation (CPI), whereas the foreign component of O&M will be adjusted on account of Rupee/Dollar exchange rate variation and US CPI. Quarterly adjustment for local inflation, foreign inflation and exchange rate variation will be made on 1st July, 1st October,

1st January & 1st April respectively on the basis of the latest available information with respect to local CPI general (notified by Federal Bureau of Statistics Pakistan), US CPI (notified by US bureau of labor statistics) and revised TT & OD Selling rate of US Dollar (notified by the National Bank of Pakistan). The mode of indexation will be as under:

a. Fixed O&M

$$F O\&M_{(LREV)} = O\&M_{(LREF)} * CPI_{(REV)} / 185.180$$

$$F O\&M_{(FREV)} = O\&M_{(FREF)} * USCPI_{(REV)} / 231.407 * ER_{(REV)} / 98$$

Where:

$F O\&M_{(LREV)}$ = The revised applicable Fixed O&M local component of tariff indexed with CPI (General).

$F O\&M_{(FREV)}$ = The revised applicable Fixed O&M foreign component of tariff indexed with US CPI and exchange rate variation.

$O\&M_{(LREF)}$ = The reference fixed O&M local component of tariff for the relevant period.

$O\&M_{(FREF)}$ = The reference fixed O&M foreign component of tariff for the relevant period.

$CPI_{(REV)}$ = The Revised Consumer Price Index (General) for the relevant month.

$CPI_{(REF)}$ = The Consumer Price Index (General) of September 2013 notified by the Pakistan Federal Bureau of Statistics.

$US CPI_{(REV)}$ = The Revised US Consumer Price Index (All Urban Consumers) notified by the Bureau of Labor Statistics.

$US CPI_{(REF)}$ = Reference US CPI (All Urban Consumers) notified by the Bureau of Labor Statistics for the month of September 2013.

$ER_{(REV)}$ = The revised TT and OD selling rate of US dollar as notified by the National Bank of Pakistan.

b. Variable O&M

$$V O\&M_{(LREV)} = O\&M_{(LREF)} * CPI_{(REV)} / 185.180$$

Where:

$V O\&M_{(LREV)}$ = The revised applicable Variable O&M local component of tariff indexed with CPI.

$O\&M_{(LREF)}$	=	The reference variable O&M local component of tariff for the relevant period.
$CPI_{(REV)}$	=	The Revised Consumer Price Index (General) for the relevant month.
$CPI_{(REF)}$	=	The Consumer Price Index (General) of September 2013 notified by the Federal Bureau of Statistics.
$US\ CPI_{(REV)}$	=	The Revised US Consumer Price Index (All Urban Consumers) notified by the Bureau of Labor Statistics.
$US\ CPI_{(REF)}$	=	Reference US CPI (All Urban Consumers) notified by the Bureau of Labor Statistics for the month of September 2013.
$ER_{(REV)}$	=	The revised TT and OD selling rate of US dollar as notified by the National Bank of Pakistan.

(ii) Water Use Charges

Water Use Charge will be paid on units delivered basis and will be indexed with Consumer Price Index (General) annually from the date of COD. The first such adjustment shall be due after one year of commercial operation from COD, according to the formula:

$$WUC_{(REV)} = WUC_{(REF)} * CPI_{(REV)} / 185.180$$

Where;

$WUC_{(REV)}$	=	The revised Water Use Charge component of tariff indexed with Consumer Price Index (CPI).
$WUC_{(REF)}$	=	The reference Water Use Charge component of tariff for the relevant period.
$CPI_{(REV)}$	=	The Revised Consumer Price Index (General) for the relevant month.
$CPI_{(REF)}$	=	The Consumer Price Index (General) of September 2013 notified by the Federal Bureau of Statistics.

(iii) Insurance

Insurance cost component of tariff, in case insurance is denominated in foreign currency, will be adjusted on account of PKR/US\$ exchange rate variation at COD and thereafter on an annual basis at actual subject to the maximum of 1.0% of the EPC cost on production of authentic documentary evidence by the Petitioner.

(iv) Adjustment for LIBOR/KIBOR variation

- (a) The interest part of fixed charge component of foreign debt will remain unchanged throughout the term except

for the adjustment due to exchange rate variation and variation in 6 months LIBOR, while spread of 4.75% on LIBOR remaining the same, according to the following formula:

$$\Delta I = P_{(REV)} * (LIBOR_{(REV)} - 0.55\%) / 2$$

Where;

ΔI = the variation in interest charges applicable corresponding to variation in six-month LIBOR. ΔI can be positive or negative depending upon whether $LIBOR_{(REV)} >$ or $< 0.55\%$. The interest payment obligation will be enhanced or reduced to the extent of ΔI for each period under adjustment applicable on bi-annual basis.

$P_{(REV)}$ = the outstanding principal (as indicated in the attached debt service schedule to this order at Annex-II) on a semi-annual basis at the relevant calculations dates.

- (b) The interest part of fixed charge component of local debt will remain unchanged throughout the term except for the adjustment due to variation in 6 months KIBOR, while spread of 3.25% on KIBOR remaining the same, according to the following formula:

$$\Delta I = P_{(REV)} * (KIBOR_{(REV)} - 9.50\%) / 2$$

Where;

ΔI = the variation in interest charges applicable corresponding to variation in six-month KIBOR. ΔI can be positive or negative depending upon whether $KIBOR_{(REV)} >$ or $< 9.50\%$. The interest payment obligation will be enhanced or reduced to the extent of ΔI for each period under adjustment applicable on bi-annual basis.

$P_{(REV)}$ = the outstanding principal (as indicated in the attached debt service schedule to this order at Annex-II) on a semi-annual basis at the relevant calculations dates.

(v) Return on Equity

Return on equity (ROE) as well as Return on Equity during Construction (ROEDC) component of tariff shall be adjusted for variation in PKR/US\$ exchange rate according to the following formula:

$$ROE_{(REV)} = ROE_{(REF)} * ER_{(REV)} / ER_{(REF)}$$

$$ROEDC_{(REV)} = ROEDC_{(REF)} * ER_{(REV)} / ER_{(REF)}$$

Where;

ROE _(REV)	=	Revised Return on Equity component of tariff expressed in Rs./kW/M adjusted with exchange rate variation.
ROEDC _(REV)	=	Revised Return on Equity during Construction component of tariff in Rs./kW/M adjusted with exchange rate variation.
ROE _(REF)	=	Reference Return on Equity component of tariff expressed in Rs./kW/M for the relevant period.
ROEDC _(REF)	=	Reference Return on Equity during Construction component of tariff expressed in Rs./kW/M for the relevant period.
ER _(REV)	=	Revised TT and OD selling rate of US dollar as notified by the National Bank of Pakistan.
ER _(REF)	=	Reference TT and OD selling rate of US dollar.

Note: -

Adjustment on account of inflation, foreign exchange rate variation and LIBOR/KIBOR variation will be approved by the Authority within fifteen working days after receipt of complete required information by the petitioner upon its request for adjustment in tariff in accordance with the requisite indexation mechanism stipulated hereinabove.

V. Other Terms and Conditions of Tariff

Design & Manufacturing Standards:

Hydel Power Generation system shall be designed, manufactured and tested in accordance with the latest IEC standards or other equivalent standards. All plant and equipment shall be new and of standard quality.

Power Curve of the Hydel Power Complex:

The power curve of the Hydel Power plant shall be verified by the Power Purchaser, as part of the Commissioning tests according to the latest IEC standards and shall be used to measure the performance of the hydel generating units.

Emissions Trading/Carbon Credits:

The Petitioner shall process and obtain emissions/carbon credits expeditiously and credit the proceeds to the Power Purchaser as per the policy issued by the Federal Government.

Annex-I

**AZAD PATTAN HYDROPOWER PROJECT
ADVANCE TARIFF - (REVIEW MOTION)**

Year	Variable O&M Local Rs./kWh	Water Use Charge Rs./kWh	Fixed O&M Local Rs./kWh	Fixed O & M Foreign Rs./kWh	Insurance Rs./kWh	Return on Equity Rs./kWh	ROE During Construction Rs./kWh	Loan Repayment Rs./kWh	Interest Charges Rs./kWh	Total Tariff Rs./kWh
1	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	613.2113	778.0382	7.0016
2	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	654.4205	736.8290	7.0016
3	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	698.9320	692.3175	7.0016
4	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	747.0662	644.1833	7.0016
5	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	799.1800	592.0695	7.0016
6	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	855.6704	535.5791	7.0016
7	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	916.9802	474.2693	7.0016
8	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	983.6030	407.6465	7.0016
9	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	1,056.0901	335.1594	7.0016
10	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	1,135.0572	256.1923	7.0016
11	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	1,221.1926	170.0569	7.0016
12	0.1006	0.1500	96.6505	64.4336	103.2599	623.1446	424.3614	1,315.2665	75.9830	7.0016
13	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
14	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
15	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
16	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
17	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
18	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
19	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
20	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
21	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
22	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
23	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
24	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
25	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
26	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
27	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
28	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
29	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
30	0.1006	0.1500	96.6505	64.4336	103.2599	662.3880	424.3614			3.6249
Levelized Tariff	0.1006	0.1500	96.6505	64.4336	103.2599	634.0232	424.3614	612.6004	392.9826	6.0655

Levelized Tariff (1-30 years) discounted at 10% per annum = US Cents 6.1893/kWh at reference exchange rate of 1/US\$=Rupees 98.00.

Annex-II

AZAD PATTAN HYDROPOWER PTOJECT

Debt Servicing Schedule

Period	Foreign Debt					Local Debt					Annual Principal Repayment Million US\$	Annual Interest Million US\$	Annual Debt Servicing Million US\$	Annual Principal Repayment Rs./kW/M	Annual Interest Rs./kW/M	Annual Debt Servicing Rs./kW/M
	Principal Million \$	Repay- ment Million \$	Mark-Up Million \$	Balance Million \$	Debt Service Million \$	Principal Million \$	Repay- ment Million \$	Mark-Up Million \$	Balance Million \$	Debt Service Million \$						
1	643.6784	19.5315	17.0575	624.1469	36.5890	214.9990	4.0229	13.7062	210.9762	17.7291	47.8827	60.7533	108.6360	613.2113	778.0382	1,391.2495
	624.1469	20.0491	16.5399	604.0979	36.5890	210.9762	4.2793	13.4497	206.6968	17.7291						
2	604.0979	20.5804	16.0086	583.5175	36.5890	206.6968	4.5521	13.1769	202.1447	17.7291	51.1006	57.5355	108.6360	654.4205	736.8290	1,391.2495
	583.5175	21.1257	15.4632	562.3917	36.5890	202.1447	4.8423	12.8867	197.3024	17.7291						
3	562.3917	21.6856	14.9034	540.7062	36.5890	197.3024	5.1510	12.5780	192.1513	17.7291	54.5763	54.0598	108.6360	698.9320	692.3175	1,391.2495
	540.7062	22.2602	14.3287	518.4459	36.5890	192.1513	5.4794	12.2496	186.6719	17.7291						
4	518.4459	22.8501	13.7388	495.5958	36.5890	186.6719	5.8287	11.9003	180.8432	17.7291	58.3348	50.3012	108.6360	747.0662	644.1833	1,391.2495
	495.5958	23.4557	13.1333	472.1401	36.5890	180.8432	6.2003	11.5288	174.6429	17.7291						
5	472.1401	24.0772	12.5117	448.0629	36.5890	174.6429	6.5956	11.1335	168.0473	17.7291	62.4041	46.2319	108.6360	799.1800	592.0695	1,391.2495
	448.0629	24.7153	11.8737	423.3476	36.5890	168.0473	7.0160	10.7130	161.0313	17.7291						
6	423.3476	25.3702	11.2187	397.9773	36.5890	161.0313	7.4633	10.2657	153.5680	17.7291	66.8152	41.8208	108.6360	855.6704	535.5791	1,391.2495
	397.9773	26.0426	10.5464	371.9348	36.5890	153.5680	7.9391	9.7900	145.6289	17.7291						
7	371.9348	26.7327	9.8563	345.2021	36.5890	145.6289	8.4452	9.2838	137.1837	17.7291	71.6026	37.0334	108.6360	916.9802	474.2693	1,391.2495
	345.2021	27.4411	9.1479	317.7610	36.5890	137.1837	8.9836	8.7455	128.2001	17.7291						
8	317.7610	28.1683	8.4207	289.5927	36.5890	128.2001	9.5563	8.1728	118.6438	17.7291	76.8049	31.8312	108.6360	983.6030	407.6465	1,391.2495
	289.5927	28.9148	7.6742	260.6780	36.5890	118.6438	10.1655	7.5635	108.4783	17.7291						
9	260.6780	29.6810	6.9080	230.9970	36.5890	108.4783	10.8136	6.9155	97.6647	17.7291	82.4650	26.1710	108.6360	1,056.0901	335.1594	1,391.2495
	230.9970	30.4675	6.1214	200.5294	36.5890	97.6647	11.5029	6.2261	86.1617	17.7291						
10	200.5294	31.2749	5.3140	169.2545	36.5890	86.1617	12.2362	5.4928	73.9255	17.7291	88.6312	20.0048	108.6360	1,135.0572	256.1923	1,391.2495
	169.2545	32.1037	4.4852	137.1508	36.5890	73.9255	13.0163	4.7128	60.9092	17.7291						
11	137.1508	32.9545	3.6345	104.1963	36.5890	60.9092	13.8461	3.8830	47.0631	17.7291	95.3571	13.2789	108.6360	1,221.1926	170.0569	1,391.2495
	104.1963	33.8278	2.7612	70.3686	36.5890	47.0631	14.7288	3.0003	32.3343	17.7291						
12	70.3686	34.7242	1.8648	35.6444	36.5890	32.3343	15.6677	2.0613	16.6666	17.7291	102.7029	5.9331	108.6360	1,315.2665	75.9830	1,391.2495
	35.6444	35.6444	0.9446	(0.0000)	36.5890	16.6666	16.6666	1.0625	(0.0000)	17.7291						

Reference: LIBOR at 0.55% plus 4.75% spread, KIBOR at 9.50% plus 3.25% spread.

[F.No.TariffAZP-2014]